A small pennant appears at D, and it sits atop a flagpole that started at G. The idea behind pennants is that the move after the pennant will mirror the height of the flagpole. It didn't happen in this case, though. Price climbed only to F.

On 11 October, I decided to buy the stock, and point A shows the day of purchase. The stock filled at a split-adjusted price of 8.22.

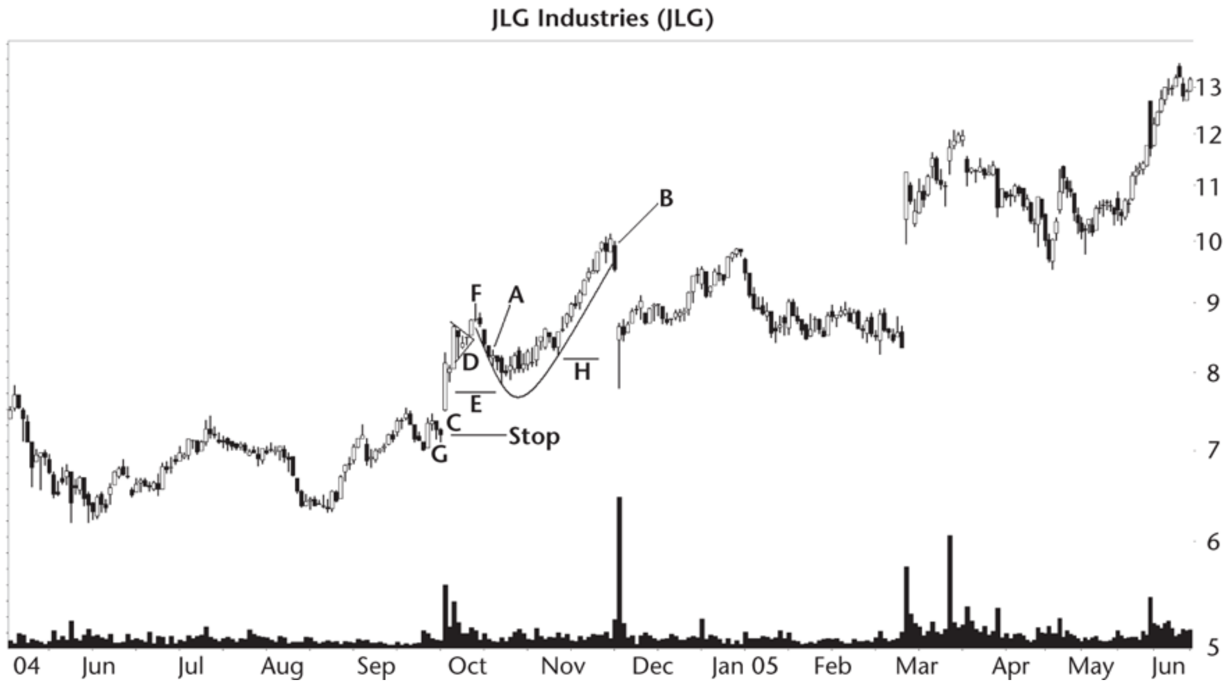

Figure 57.4 This ascending scallop led to a timely trade exit when the company announced earnings.

Why buy there? From my notebook: “This is approaching the 62% retrace from the low at 7.11 to the high at 8.99. I think, after three down days and perhaps another today, the stock will move up tomorrow. More traders will return from the Columbus Day holiday and help the market move up. This [stock] may move horizontally, gathering strength for the next up move.”

The 62% value retraces the climb from G to F as price slides back down toward A. The bottom of the bowl sits on the 62% retrace value of 7.82. My prediction of the stock moving higher was premature by 3 days.

I placed a stop-loss order at 7.22. “Below the gap, below the pennant apex, and below the 62% retrace, but the loss is large: 12%.” I show the original stop location as the lowest horizontal line in October, near G.